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Demystifying Double Taxation: An Overview of India's Tax Treaty(DTAA) Network

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DTAA- Overview

A **Double Taxation Avoidance Agreement (DTAA)**, also referred to as a "tax treaty," is a bilateral agreement signed between two countries to ensure that a taxpayer is not taxed twice on the same income in both jurisdictions.

Accordingly, DDTA is a bilateral tax treaty between two jurisdictions that:

- Allocates taxing rights over different types of income between the two States, and
- Provides mechanisms to relieve double taxation (e.g., credit or exemption), so that the same income is not effectively taxed twice in full.

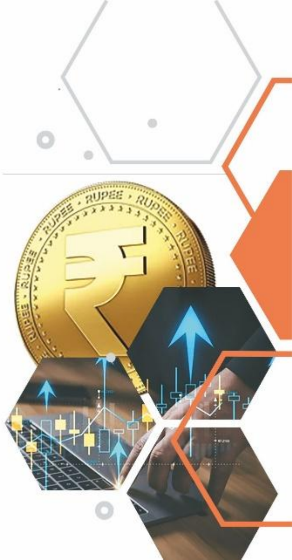
In India, DTAAs are entered into under section 90 of the (1961) Income-tax Act (**section 159 of Income Tax 2025 is the corresponding provision for the new Act**).

India can also adopt agreements between "specified associations" and foreign territories under section 90A (1961 Act) / section 159(2)-type provisions (2025 Act).

Core objective : A DTAA typically aims to:

1. **Avoid or relieve double taxation**
    - Same income taxed in both countries (e.g., an Indian resident earning US salary). The treaty prescribes which State has primary/limited rights and requires the residence State to grant a credit or exemption.
2. **Prevent tax evasion and avoidance**
    - Exchange-of-information and assistance-in-collection articles. Anti-abuse tools (Limitation of Benefits, Principal Purpose Test, etc.).
3. **Promote cross-border trade and investment**
    - Certainty on taxability of business profits, capital gains, services. Reduced source-country withholding rates on dividends, interest, royalties, and fees for technical services (FTS).
4. **Allocate taxing rights in a coherent way**
    - By income type (Articles on business profits, dividends, interest, royalties/FTS, capital gains, salaries, pensions, etc.). By nexus (residence vs source; "permanent establishment" for business income).

Under Indian law, where a DTAA applies, its provisions override conflicting provisions of the Act to the extent they are more beneficial to the assessee (section 90(2); section 159(4) of Income Tax 2025



Legal basis under Indian law : Section 159 – Agreements for relief of double taxation

Section 159 of the Income Tax Act, 2025 authorizes:

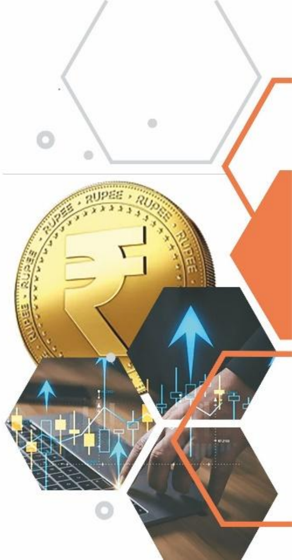
- The **Central Government** to enter into agreements with foreign countries or specified territories, and
- Certain **specified associations** to enter into reciprocal agreements,

for:

- Granting relief when income is taxed in both jurisdictions, Avoidance of double taxation without encouraging tax avoidance or evasion, Exchange of information, and Recovery of taxes.

Key points:

- If a DTAA applies, the **more beneficial** provisions between the treaty and domestic law apply to that assessee (subject to explicit overrides for some chapters).
- Definitions in the DTAA **override** domestic definitions; where terms are not defined, one then looks to the Act and any notifications, and failing that, to general law.
- A non-resident claiming treaty relief must obtain a **certificate of residence (Tax Residency Certificate)** from the treaty partner country and provide it, along with prescribed information, to the Indian authorities.



Typical structure of a DTAA

Most DTAAs follow the OECD/UN Model Convention pattern and contain the following chapters:

1. **Scope and definitions**
   - Persons and taxes covered. Definitions of key terms (e.g., “resident”, “permanent establishment”, “dividends”, “interest”).
2. **Allocation of taxing rights by income category**
   Separate articles for:
   - Income from immovable property,
   - Business profits (including permanent establishment)
   - Shipping and air transport,
   - Associated enterprises / transfer pricing
   - Dividends, Interest, Royalties
   - Fees for technical services (often in UN-style treaties)
   - Capital gains, Independent and dependent personal services
   - Director’s fees, artistes and sportspersons, pensions, students, etc.

3. Methods for elimination of double taxation

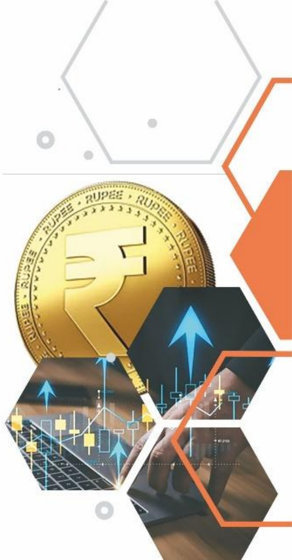
1. Credit method, exemption method, or variations (see section 5.2 below).

4. Anti-avoidance and integrity measures

1. Limitation of benefits (LOB), main-purpose tests, specific anti-abuse provisions.

5. Administrative provisions

1. Mutual Agreement Procedure (MAP)
2. Exchange of information
3. Assistance in collection of taxes
4. Non-discrimination, entry into force, termination.



Key clauses:

Residency -

Most DTAAs define a **resident of a Contracting State** as any person who, under that State's laws, is liable to tax therein by reason of domicile, residence, place of management, or similar criteria. Tie-breaker rules generally apply when a person is resident in both States (e.g., permanent home, centre of vital interests, habitual abode, nationality, mutual agreement). In Indian law, a non-resident must produce a **certificate of residence** from the foreign jurisdiction when claiming benefits under a DTAA.[i]

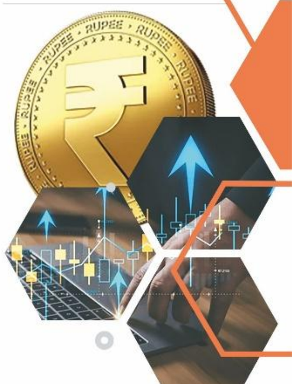
Permanent Establishment (PE) -

A **PE** is generally a fixed place of business through which the business of an enterprise is wholly or partly carried on (e.g., branch, office, factory, workshop, place of management).

Typical extensions include:

- Construction PE (sites/projects/installation lasting more than a specified period).
- Service PE (furnishing services in the other State for more than a threshold number of days).
- Agency PE (dependent agents with authority to conclude contracts).

Business profits are usually taxable in the **source State** only if the foreign enterprise has a PE there, and then only to the extent attributable to that PE.



Business profits

- If a non-resident has **no PE** in India, its business profits are generally taxable **only in its State of residence**.
- If it has a **PE in India**, India may tax the profits attributable to that PE, applying an arm's-length principle.

Passive income: dividends, interest, royalties, FTS

DTAAs typically:

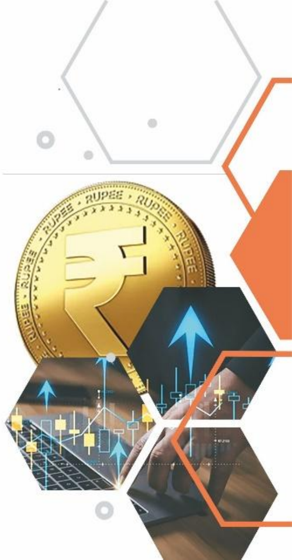
- Permit **limited source-state taxation** at concessional rates (e.g., 5–15%) on: Dividends, Interest, Royalties and fees for technical services.
- The **residence State** generally gives a **credit** for the tax paid in the source State, subject to its own rules. This often offers significant rate relief compared to higher domestic withholding tax rates.

Capital gains

Approaches vary by treaty, but common rules include:

- **Immovable property / property-rich shares** – taxable where property is situated.
- **Movable property forming part of a PE** – taxable in PE State.

Shares generally – often taxable only in State of the **seller's residence**, subject to anti-abuse rules (e.g., property-rich company clauses, shareholding thresholds, holding period tests).



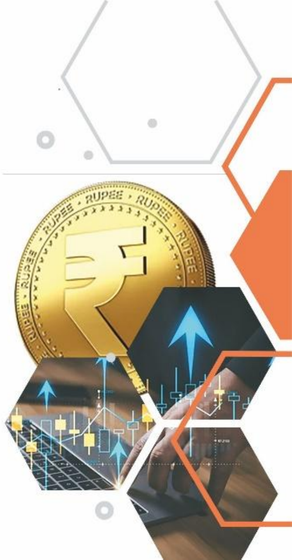
Non-discrimination

Most DTAAs contain a clause prohibiting discriminatory taxation against nationals or enterprises of the other State relative to domestic taxpayers in similar circumstances, subject to carefully defined exceptions.

Mutual Agreement Procedure (MAP) & exchange of information

- **MAP** allows a taxpayer who believes they are taxed contrary to the treaty to present a case to their home competent authority, which can consult with the other State to resolve it.

- **Exchange of information** articles allow competent authorities to share information relevant for implementing the DTAA or domestic tax laws, including for preventing evasion.



Methods of eliminating double taxation

Article on “Elimination of Double Taxation” typically prescribes how the **residence State** grants relief.

Credit method (most common)

The residence State: Computes tax on the worldwide income, including foreign-source income. Allows a **credit** for tax paid in the source State, limited to the portion of domestic tax attributable to that foreign income.

In Indian domestic law this is implemented through the **Foreign Tax Credit (FTC) rules** (Rule 76 under the 2025 Act), which:

Restrict FTC to the **lower of** Indian tax on that income and foreign tax actually paid; excess foreign tax beyond treaty rates is ignored.[i]

Exemption method

The residence State fully or partially **exempts** specified types of foreign income from its tax base (or exempts them from further tax while still using them for rate-progression). This is less common in newer treaties but may still appear for certain categories (e.g., some employment income, pensions).

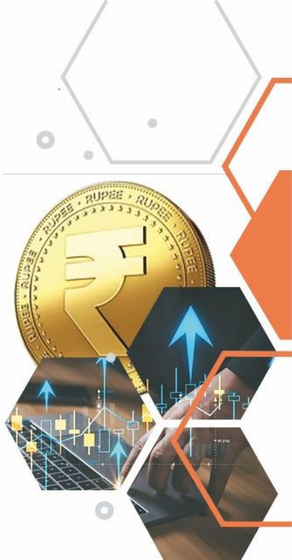
Benefits of DTAAs

For taxpayers

- **Avoidance of double taxation**, via lower source-state tax plus credit or exemption in residence State.
- **Lower withholding tax rates** on dividends, interest, royalties, FTS.
- **Tax certainty:** clear allocation rules reduce ambiguity and disputes.
- **Protection against discriminatory taxation** and arbitrary assessments.
- **Access to MAP** to resolve disputes involving both countries.

For governments

- **Improved investment climate**, encouraging inbound and outbound investment.
- **Co-operation against evasion**, via exchange of information and assistance in collection.[i]
- **Clear allocation of taxing rights**, reducing overlaps and friction.
- Framework for **modern anti-avoidance rules**, including LOB and principal-purpose tests.



Practical examples of DTAA application

Example 1 – Salary income (individual working abroad)

Facts:

- Ms. A is **resident in India**, employed by an Indian company and deputed to Germany for 8 months.
- Her salary for work physically performed in Germany is taxed in Germany under German domestic law.
- Under the India–Germany DTAA, employment income is generally taxable in the **State where employment is exercised** (Germany), with India as **residence State**.

Result:

1. Germany taxes salary for the 8-month period.
2. India, as Ms. A's country of residence, taxes her **global income**, including the German salary.
3. To avoid double taxation:
    - Ms. A includes German salary in her Indian return. She claims **FTC** for German tax paid, following Rule 76: Files **Form 44** within 12 months from end of the Indian tax year, enclosing German tax assessment / employer certificate. FTC is restricted to the Indian tax attributable to that salary; any excess German tax generally is not creditable.

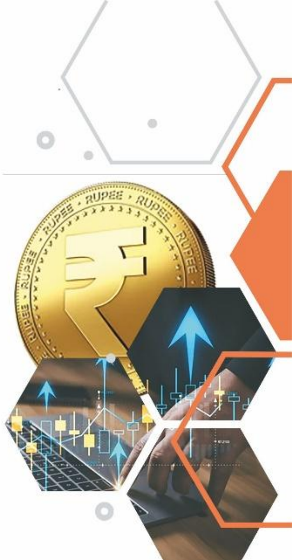
Example 2 – Interest income (non-resident investor)

Facts:

- A US resident individual holds rupee bonds issued by an Indian company.
- Under Indian domestic law, interest to non-residents is taxable at, say, 20% + surcharge & cess.
- The India–US DTAA limits source-state tax on such interest to 15% of gross, subject to conditions.

Result:

- The Indian company, as payer, can deduct tax at **15%** (treaty rate) instead of 20%+ under domestic law, if:
  - The investor furnishes **US Tax Residency Certificate** and other prescribed particulars (e.g., self-declaration, PAN etc.).
- The US resident includes interest in US tax return and may claim **credit in the US** for Indian tax paid, subject to US FTC rules.
- Double taxation is mitigated: India collects limited source tax; the US provides relief.



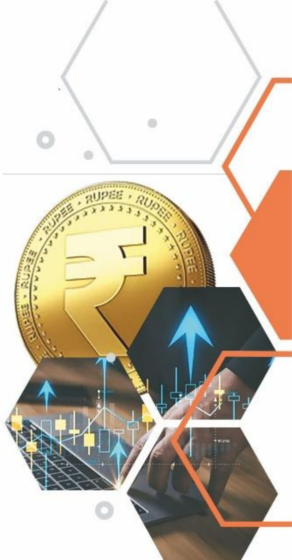
Example 3 – Business profits and PE

Facts:

- A UK company provides consulting services to Indian clients.
- It has no fixed place of business and sends staff sporadically for short visits; total presence in India during a year is 40 days.
- The India–UK DTAA defines a **Service PE** only if services are furnished for more than, say, 90 days in any 12-month period.

Result:

- The UK company has **no PE** in India because the service presence does not exceed the threshold.
- Under the DTAA, its business profits are taxable **only in the UK**, not in India, notwithstanding that clients are located in India.
- However, some specific payments (e.g., royalties / FTS) may still be taxable in India at treaty rates, depending on the contract classification.



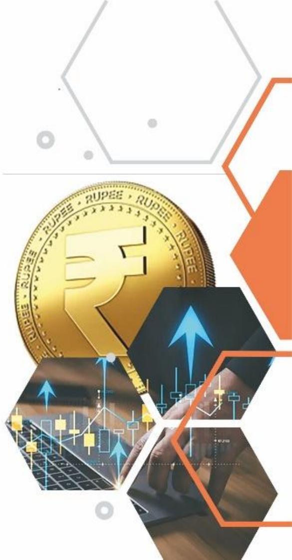
Example 4 – Capital gains on sale of shares

Facts:

- A Singapore resident company holds shares of an Indian listed company.
- It sells the shares at a substantial gain.
- Depending on the specific version/phase of the India–Singapore DTAA, capital gains on such shares may either:
    - Be taxable in India (source-based), or
    - Be taxable **only in Singapore** (residence-based), subject to anti-abuse conditions (e.g., minimum shareholding, limitations on use of the treaty).

Result (under a residence-based regime):

- India forgoes right to tax such capital gains under the DTAA.
- Singapore taxes (or may exempt) the gains according to its domestic law.
- This can significantly reduce or eliminate Indian capital gains tax, provided anti-abuse clauses are complied with.



Interaction of DTAA with domestic law and compliance

1. **Treaty vs domestic law**
   - The taxpayer may choose the **more beneficial** of domestic provisions and DTAA (subject to anti-abuse override).
   - GAAR / specific anti-avoidance provisions may still apply even if a treaty benefit is otherwise available.
2. **Substantiating treaty claim**
   - Non-resident must provide:
     - **Tax Residency Certificate (TRC)**, and
     - Other prescribed information / forms (e.g., self-declaration of beneficial ownership).
3. **Indian resident claiming FTC**
   - Must file FTC documentation in Form 44 and maintain foreign tax payment proofs, adhering to Rule 76 timelines and conditions.
4. **Information flows**

   Under Rule 245 (AIS), information from foreign tax authorities obtained under DTAAs can be reflected in an assessee's Annual Information Statement, influencing risk assessment and selection for scrutiny.

How to use a DTAA in practice (checklist)

For a resident of India or of a treaty partner engaging in a cross-border transaction:

1. **Identify residency under the treaty** (Article 4) and obtain a **Tax Residency Certificate** (TRC) from the country of residence; Indian law requires TRC plus prescribed information (Form 10F under 1961 Act; analogous rules under 2025 Act).
2. **Classify the income:** salary, interest, dividend, royalty, FTS, capital gains, business profits, etc.
3. **Check the relevant article(s)** in the specific DTAA:
   - Who has primary taxing rights? Is source-state tax capped (and at what rate)?
   - Are there conditions (beneficial ownership, minimum shareholding, “make available”, 183-day thresholds, etc.)?
4. **Check anti-abuse articles:** LoB, PPT, GAAR risk.
5. **At withholding stage (India as source):**
   - Apply **lower of** DTAA rate and domestic rate (section 195 + Circular 728). Maintain evidence: TRC, self-declaration of beneficial ownership, treaty article mapping.
6. **At filing stage (India as residence):**
   - Include foreign income in total income if taxable. Compute FTC under Rule 128/draft Rule 76; file relevant forms on time with supporting evidence.

Reduced withholding tax (WHT) rates

Income type	India–UAE DTAA cap	India–USA DTAA cap	Comments
Dividends	10% of gross (beneficial owner)	Generally 15% (lower 10%/5% in some cases depending on shareholding, subject to conditions)	Domestic Indian rate on dividends to non-residents under Income Tax 2025 is 20% unless treaty reduces it.
Interest	5% (banks/financial institutions); 12.5% others	10% / 15% depending on nature and recipient	Domestic 2025 rate on most cross-border interest: 20% (some concessional 5% categories).
Royalties	10%	10% (industrial, know-how) or 15% (other, including certain FIS categories)	Domestic 2025 rate – 20% on royalty & FTS for non-residents/foreign companies (section 207).
FTS / Fees for Included Services	10%	10%/15% depending on category and "included services" definition[i]	May also be taxed as business profits if effectively connected with a PE.

Anti-abuse provisions

India's treaty network increasingly integrates BEPS anti-abuse standards:

1. **Limitation of Benefits (LoB) clauses**
   - Example: India–UAE Article 29 (inserted by 2007 Protocol) denies treaty benefits where main purpose of setting up or acquiring an entity was to obtain treaty benefits and there is no bona fide business activity.[i][i]
   - India–USA has detailed LoB Article 24 specifying qualifying persons and tests.[i]
2. **Principal Purpose Test (PPT) via Multilateral Instrument (MLI)**
   - India signed the MLI in 2017; PPT now applies to many of India's treaties for years after the MLI effective dates.[i]
   - CBDT Circular 1/2025 gives **guidance on PPT application**, clarifying effective dates and interaction with treaty-specific grandfathering (e.g., Mauritius/Singapore capital-gains transitions).[i]
3. **GAAR in domestic law (Chapter X-A)**
   - Section 90(2A) (1961 Act) allows GAAR to apply even where a DTAA exists and is otherwise beneficial if an arrangement is an impermissible avoidance arrangement.[i]
4. **MFN clauses and clarifications**
   - Some OECD-country treaties have MFN in Protocols (e.g., Netherlands, France, Switzerland).
   - CBDT Circular 3/2022 clarifies that importing lower rates from third-country treaties via MFN requires that the third State was an OECD member at the time of signing and that India issues a section 90 notification; unilateral foreign decrees are not binding.[i]

Supreme Court in Nestlé SA (2023) confirmed that section 90 notification is mandatory for MFN benefits to be effective domestically

India's DTAA network and recent developments

Size and spread of India's DTAA network

- India currently has **more than 90 comprehensive DTAAs** covering virtually all major trading and investment partners (USA, UK, UAE, Singapore, Mauritius, Germany, Japan, France, Netherlands, etc.) and numerous limited agreements (e.g., shipping/air transport or information exchange only).

- As per published data "more than sixty-five" comprehensive treaties and over seventeen limited agreements; since then, additional treaties (e.g., Hong Kong, Mauritius-revised, Cyprus-revised, Kazakhstan, Hong Kong, Macedonia) and MLI-modifications have expanded coverage.

Significant recent updates

MLI and BEPS implementation

- India signed the Multilateral Instrument (MLI) in 2017; it is in force for India and modifies many of India's treaties to:
  - Insert anti-abuse PPT,
  - Modify PE definitions, and
  - Adjust dividend articles (e.g., 365-day shareholding requirement).

CBDT Circular 1/2025 clarifies PPT timing and interaction with treaty-specific grandfathering (e.g., India–Mauritius / India–Singapore capital-gains transitions).

Foreign Tax Credit rules evolution and migration to Income Tax 2025

- Under the 1961 Act, **Rule 128** (2016) governs FTC; upcoming **Income Tax 2025** migrates this regime into **Rule 76**, with broadly similar principles but updated forms, timing and definitional cross-references.
- Courts and tribunals (e.g., Wipro, HCL Technologies, Timirbaran Mazumder) have strengthened the view that FTC is a substantive treaty right and procedural missteps (like delayed Form 67) should not usually defeat that right.

Sum up

- A DTAA is a **treaty framework** that allocates taxing rights between two countries and prescribes methods (primarily **tax credit** or **exemption**) to eliminate double taxation.

- In India, its legal foundation is **section 159**, and its practical implementation (for relief and foreign tax credits) is through FTC **Rule 76** and related forms (e.g., Form 44, 45), with the taxpayer required to provide **residency evidence** and supporting documents.

- Correct use of DTAAs can materially reduce tax costs and prevent double taxation, but it demands careful attention to **residency, PE thresholds, income classification, and filing/FTC timelines**.

Thank You

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